

Executive Summary — Customer Intelligence & Retention Strategy

The question asked: *Is the business building a loyal customer base, or is it reliant on continuous promotional activity — and what should be done under either scenario?*

The answer: neither story is true — and the real problem is more fixable than either. The brand has a genuinely committed base it is failing to activate. Promotional reliance is modest and concentrated; under-activation is large and addressable.

Three numbers that define the situation

1. **15.8% of revenue (\$36,766) is plausibly discount-caused** — purchases by non-subscribers who bought on promo. That is the entire measurable promo exposure; “discount dependency” is not the core problem.
2. **26.9% of revenue (\$62,645) flows through subscriber discounts whose necessity is unknowable from current data** — every subscriber receives discounts by program design, so their dependency has never been tested.
3. **969 committed-but-slow customers (25% of the base) carry a ~\$996k value gap** to their activated equivalents — the largest measured opportunity, 2.7× the size of the measurable promo exposure.

Loyalty was defined two competing ways (behavioral vs. commitment-based), tested, and the commitment definition adopted — by that standard 35.4% of customers are loyal, but only 30% of the loyal are activated heavy buyers. An automated definition-search with a planted-signal control confirmed no data-mined alternative outperforms these theory-grounded definitions.

Actions — built to work under either scenario

Each move carries its own control group and kill-switch, so if the promo-reliant scenario is true, the plan detects it within weeks at capped cost instead of assuming it.

#	Action	Scale	Decision evidence
1	Taper discounts: habitual deal-takers first	155 customers, 4.0% of revenue	10% control; kill-switch at break-even churn (17–60% by margin scenario)
2	Then casual deal-takers, gated on #1	469 customers, 11.8% of revenue	Same design, 47-customer control
3	Subscriber no-discount renewal test	105 of 1,053 subscribers	Converts the \$62,645 unknown into a measured answer
4	Redirect savings to latent activation — cadence levers, not price	969 customers, ~\$996k gap	Quarterly latent→true conversion rate
5	Start logging order timestamps + discount depth (Month 1)	—	Makes retention and margin measurable for every future cycle

Ideal customer (for acquisition): behaviorally defined, not demographic — enters via footwear/outerwear, converts at full price, accepts subscription, rates ≥ 4 post-purchase. Score new customers on these four observable triggers within 30 days.

Scope notes

Cross-sectional snapshot (no timestamps), binary promo flag (margin impact given as scenario ranges), promo exposure structurally male-only in this data. Full traceability: every segment maps to stated variable combinations; every figure to a versioned script (`scripts/01-06`).